

analyzes more than 1,000 of the biggest winning companies in recent market history in detail, super stocks such as

Texas Instruments, whose price soared from \$25 to \$250 from January 1958 through May 1960

Xerox, which escalated from \$160 to the equivalent of \$1,340 between March 1963 and June 1966

Syntex, which leaped from \$100 to \$570 in only six months during the last half of 1963

Dome Petroleum and Prime Computer, which advanced 1,000% and 1,595%, respectively, in the 1978–1980 stock market

Limited Stores, which wildly excited lucky shareowners with a 3,500% increase between 1982 and 1987

Cisco Systems, which between October 1990 and March 2000 advanced from a split-adjusted \$0.10 to \$82

Home Depot and Microsoft both increased more than 20 times during the 1980s and early 1990s. Home Depot was one of the all-time great performers, jumping 20-fold in less than two years from its initial public offering in September 1981 and then climbing another 10 times from 1988 to 1992. All of these companies offered exciting new entrepreneurial products and concepts. In total, we actually have 10 different model books that cover America's innovative and highly successful companies.

Would you like to know the common characteristics and rules of success we discovered from this intensive study of all past stock market leaders?

They're all covered in the next few chapters and in a simple, easy-to-remember formula we have named CAN SLIM. Each letter in the words CAN SLIM stands for one of the seven chief characteristics of these greatest winning stocks at their early developing stages, just before they made huge profits for their shareholders and our country (companies and employees all pay taxes as well as helping to improve our standard of living). Write this formula down, and repeat it several times so you won't forget it.

The reason CAN SLIM continues to work cycle after cycle is that it's based solely on the reality of how the stock market actually works rather than on our personal opinion or anyone else's, including Wall Street's.